

From Bad to Worse

It was a bleak Diwali on Dalal Street, with the Sensex having fallen to around 3,700 from its peak of 6,000-plus. Even the most diehard of bears would not have expected the fall to be this steep though they had anticipated a downswing.

The aura of invincibility around Ketan had faded now, though he still called the shots in a few of his favourite stocks. He still had access to funding from friendly promoters, could tap into the coffers of Global Trust Bank and Madhavpura Mercantile Co-operative Bank (MMCB), and had fund managers whom he could count on to buy or sell shares on his instructions. He had also the support of the Indian brokerage arms of global investment banks like Credit Suisse First Boston and Dresdner Kleinwort Benson, which entered into synchronized buy and sell trades with him. This arrangement helped create the impression of huge trading interest in a stock to attract other market players. Ketan would later tell the Joint Parliamentary Committee probing the 2001 stock market scam that these arrangements were not aimed at creating artificial volumes, but were pure financing deals where the brokerages were loaning him money at a price.

A typical arrangement would consist of Ketan directly transferring shares held by him into the brokerage's account and receiving cash for them upfront. This facility was known as delivery-versus-payment (DVP), and the transaction was not routed through the stock exchanges' clearing house. The clearing house route – the normal procedure – would have meant another ten days before Ketan could receive funds for the shares.